

traditional Treasuries, the amount of the semiannual interest payments and the par value that is returned on TIPS are not fixed. Those items are linked to the rate of inflation during the issue period. If there was inflation during the time the bond was outstanding, the par value of the bond goes up with that rate of inflation. Since the par value of the bond goes up, the interest received is also higher. The inflation adjustment makes TIPS inflation risk-free, which is unique among all fixed-income investments.

Before investing in TIPS, there are a few things you need to know about the inflation adjustment. The fixed coupon rate is applied to the inflation-adjusted par price. If inflation occurs throughout the life of the security, the par value goes up consistently, and as a result every interest payment will be greater than the previous one. On the other hand, in the rather unusual event of deflation (lower prices), the par value of the bond goes down, and that means that your interest payments will decrease as well.

Before you get too excited about the inflation-adjustment feature of TIPS, you should understand that *all* bonds already have an inflation forecast built into their expected return. Assume that a traditional 10-year Treasury note is yielding 4 percent and that the 10-year TIPS is yielding 2 percent. The 2 percent difference in yield is the expected inflation rate over the next 10 years. The inflation number is already worked into the traditional Treasury yield, whereas it is not in the TIPS.

Investors can gauge what the consensus believes the inflation rate will be in the future by subtracting the yield on a traditional Treasury bond from the yield on TIPS of the same maturity. [Figure 8-7](#) depicts the historical values of the expected inflation rate as the difference in yield between 10-year TIPS bond and a traditional 10-year maturity Treasury bond. By the end of 2009, the inflation expectation based on the 10-year TIPS/nominal spread was 2.23 percent. That was up from a historic 0.25 percent low in 2008.

Also illustrated in [Figure 8-7](#) is the trailing 12-month inflation rate as measured by the Consumer Price Index (CPI). The change in the nominal TIPS spread appears to forecast inflation by about three months with some consistency.

FIGURE 8-7

Treasury Yield Spread: Traditional Treasury Bond Yield to Treasury Inflation-Protected Securities (10-Year Maturities)